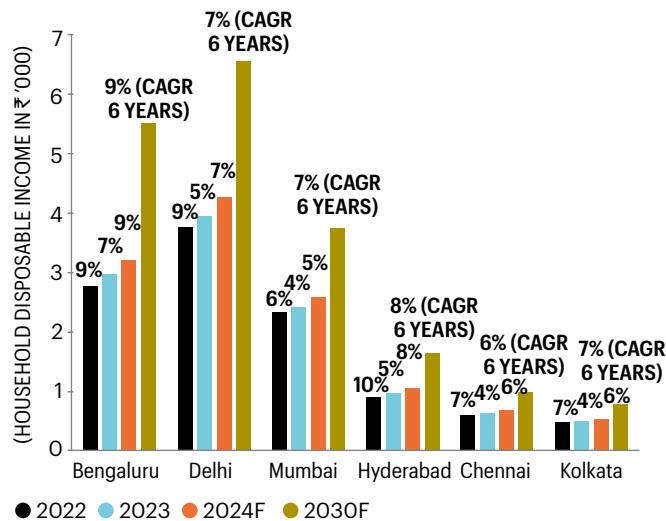




PHOTO BY **HARDIK CHHABRA**

RISE IN DISPOSABLE INCOME

• Disposable income has been going up in Indian cities, especially Bengaluru, Delhi, and Mumbai



F: FORECAST; THE NUMBER ABOVE THE BAR REPRESENTS YoY PERCENTAGE CHANGE, EXCEPT FOR YEAR 2030 **SOURCE:** OXFAM ECONOMICS, DECEMBER 2023; CBRE RESEARCH



Gayatri Ruia of Phoenix Palladium says the mall in Mumbai will expand to 1.6 million sq. ft

posable incomes. According to the ‘*Global Wealth Report 2024*’ by investment banking and financial services firm UBS, India had 868,671 dollar millionaires in 2023; the number is expected to go up by 22% to 1,061,463 by 2028, making it one of the fastest-growing markets for high-net-worth individuals (HNIs) globally. A recent research report called ‘*Intelligent Investment: India’s Luxury Real Estate Where Opulence Meets Opportunity*’ by real estate

services firm CBRE also states that the surge in the number of HNIs and ultra-high net-worth individuals (UHNIs) is rapidly reshaping the landscape of India’s luxury market. “Post Covid, even several Tier II cities in the country have witnessed an increase in the number of wealthy people and the aggregate number of these individuals put together will create substantial demand for high end consumer products,” says Anshuman Magazine, CBRE Chairman & CEO for India, South East Asia, Middle East & Africa.

Global management consulting firm Bain & Company, in a report, also underscores the immense growth potential of India’s luxury market, projecting that it could expand 3.5 times its current size by 2030, with an anticipated influx of 35-40 million mid- and high-income consumers by that year. In 2030, the size of the luxury market will be \$85-90 billion, it predicts.

This expanding pool of affluent consumers, coupled with the rising young population of the country with higher incomes who are exposed to social media, are increasingly attracting foreign luxury brands looking to tap into a market characterised by a burgeoning appetite for luxury goods and experiences. “Even though we don’t have the exact number of luxury consumers, I suspect that there are 5 million-odd habitual buyers, who buy at least three high value products in a span of two years; about 15 million sporadic buyers, who buy once in a while; and about 30 million aspirational buyers who have the buying power, but [are] not yet sure of the price value equation, totalling about 50 million,” says the RBL spokesperson. “And what used to be a season-minus collection at several of the lux-